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Standard Chartered | Asia Pacific

Group Announces next 2028 targets - broadly as expected, but growth prospects justify continued upside

Key points of Standard Chartered's targets include ROTE >15% in 2028, ~18% by 2030 (MSe 15.9%; 18.3% respectively); high-teens EPS CAGR and 5-7% income 2025-28 (MSe 19.8%, 6.1%); cost:income ratio 57% by 2028e (MSe 57%). CET1 range 13-14% with loan loss 30-35bps (MSe c.30bps) and 30% or more payout ratio (MSe 30%). Group will focus on wealth and CCIB, especially FI business. These targets are broadly in-line with MSe (although some in the market were hoping for higher) but we note the group has a recent history of setting achievable goals. On the basis of it meeting these targets, we see upside potential in the stock. Standard Chartered will be holding an investor day on 19 and 21 May.

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Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$221.00
Up/downside to price target (%)	12
Shr price, close (May 18, 2026)	HK\$196.60
52-Week Range	HK\$206.00-116.40
Sh out, dil, curr (mn)	2,247
Mkt cap, curr (mn)	US\$56,422
Avg daily trading value (mn)	HK\$181

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.95	2.27	2.66	3.24
Prior EPS (US\$)**	-	-	-	-
EPS (US\$)§	2.22	2.31	2.71	3.11
ModelWare net inc (US \$ mn)	4,693	5,124	5,672	6,508
P/E	12.4	11.0	9.4	7.8
P/BV	1.2	1.2	1.1	1.0
ROE (%)	10.9	11.4	12.4	14.0
Div yld (%)	2.5	2.7	3.1	3.8
Core tier 1 capital ratio, Basel 3 (%)	14.1	13.5	13.4	13.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Standard Chartered (2888.HK)

Gordon Growth model, probability-weighted 20% bull, 75% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.3x bull, 1.42x base, 0.51x bear.

Risks to Upside

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

Risks to Downside

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver cost targets

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Standard Chartered (2888.HK) - As of 05/18/26 GMT in HKD
Industry : Hong Kong Financials



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Nick Lord		
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HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$138.10
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$196.60
Richard Xu, CFA		
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